Credit is running ahead of output

1 **Chemicals, engineering, power**
Credit well ahead of production.

2 **Petroleum goes the other way**
More rupees, less real credit.

3 **Gold stays hot**
Even after prices.

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Swipe →

1 · CHEMICALS

Credit up, output down

+25.5% vs **−1.4%**

credit output

Credit to chemical makers is at its fastest in our data.

PART	GROWTH	OUTPUT 12M
Chemicals and Chemical Products	25.5%	-1.4%

OUTPUT 12M = production (IIP), the last 12 months against the 12 before

September alone: credit 23.5% to 25.5%. Output −0.9% to −1.4%.

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2 · ALL ENGINEERING

The fastest line in industry credit

+36.0% vs **+12.5%**

credit — output

PART	GROWTH	OUTPUT 12M
All Engineering	36.0%	12.5%

OUTPUT 12M = production (IIP), the last 12 months against the 12 before

September alone: credit 33.4% to 36.0%. Output 12.3% to 12.5%.

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3 · POWER

Lending far ahead of generation

+22.9% vs **+6.0%**

credit — output

Electricity prices (WPI) fell 0.4%, so real growth is higher still: 23.4%.

PART	GROWTH	REAL CREDIT	OUTPUT 12M
Power	**22.9%**	**23.4%**	**6.0%**

REAL CREDIT = growth with prices taken out · **OUTPUT 12M** = production (IIP), the last 12 months against the 12 before

September alone: credit 21.0% to 22.9%. Output 5.2% to 6.0%.

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4 · PETROLEUM, COAL PRODUCTS

More rupees, less real credit

+9.3% → **−21.9%**

credit, in rupees — after oil prices

Oil prices (WPI mineral oils) up 40.0%. Production up 0.6%.

PART	GROWTH	REAL CREDIT
Petroleum, Coal Products and Nuclear Fuels	**9.3%**	**-21.9%**

REAL CREDIT = growth with prices taken out

September alone: credit 14.8% to 9.3%. Real −17.1% to −21.9%.

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5 · GOLD LOANS

Hot even after prices

+82.6% → **+73.0%**

in rupees — after CPI (+5.5%)

Capacity being built ahead of output, or more debt per rupee of output? Both can be true, and we haven't tested which.

September alone: barely moved, 83.2% to 82.6%.

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